



Quarterly Investment Report

Q2 2025 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	51.5%	+2.19%	-3.52%
Credit	20.6%	+1.92%	-0.91%
Equities	11.4%	+2.14%	+1.89%
Property	7.9%	-1.58%	-2.74%
Cash	7.1%	+1.00%	+3.94%

Market Commentary

During Q2 2025, gilt yields moved by approximately +41bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.